

RECEIVED

26 OCT 17 AM 11:35

OFFICE OF THE SECRETARY
FEDERAL MARITIME COMMISSION

CONFIDENTIAL MATERIALS EXCLUDED

BEFORE THE
FEDERAL MARITIME COMMISSION

Docket No. 10-05

AMERICAN STEVEDORING, INC.

COMPLAINANT

v.

THE PORT AUTHORITY OF NEW YORK AND NEW JERSEY

RESPONDENT

**JOINT MOTION FOR APPROVAL OF SETTLEMENT AGREEMENT AND
DISMISSAL WITH PREJUDICE**

Complainant American Stevedoring, Inc. ("ASI") and Respondent The Port Authority of New York and New Jersey ("PANYNJ" or "Port Authority"), through their respective attorneys, hereby jointly move for approval of the attached Confidential Settlement Agreement (*see Exhibit A*); and for dismissal of ASI's Complaint in this action dated May 25, 2010 (the "Complaint"), in its entirety and with prejudice. ASI and PANYNJ submit that the Confidential Settlement Agreement meets the Commission's criteria for approval of settlement agreements and therefore should be approved.

I. BACKGROUND

ASI's Complaint alleges that Respondent Port Authority violated certain sections of the Shipping Act of 1984, 46 U.S.C. §§ 41106(2), 41106(3). Following months of discussions and negotiations, ASI and PANYNJ have agreed to a Confidential Settlement Agreement that includes

REDACTED – CONFIDENTIAL INFORMATION EXCLUDED

ORIGINAL
RECEIVED

25 OCT 17 AM 11:36

OFFICE OF THE SECRETARY
FEDERAL MARITIME COMMISSION

Cc: ALS
Pub

¹ See Exhibit A, Article IX.

The parties have also stipulated to move the Presiding Officer for an order approving the Confidential Settlement Agreement and dismissing the complaint with prejudice. See Exhibit B.

Pursuant to the terms of the Confidential Settlement Agreement, ASI will, *inter*

alia

REDACTED – CONFIDENTIAL INFORMATION EXCLUDED

The parties submit that the

mutual concessions made in connection with the Confidential Settlement Agreement fairly address the outstanding issues between them in this matter.

II. THE CONFIDENTIAL SETTLEMENT AGREEMENT MEETS THE COMMISSION'S REQUIREMENTS FOR APPROVAL OF SETTLEMENTS

It is "well settled that the law and Commission policy encourage settlements and engage in every presumption which favors a finding that they are fair, correct, and valid."

Old Ben Coal Company v. Sea-Land Service, Inc., 21 F.M.C. 506, 512 (1978); *see also*

Freeman v. Mediterranean Shipping Co., Docket No. 08-01, __ S.R.R. __ (ALJ, Apr. 24,

¹ The parties have agreed to designate portions of this Joint Motion and the entire Settlement Agreement and record in this case as confidential pursuant to the Stipulation and Protective Order Governing Disclosure of Confidential Information in this case, so ordered on February 15, 2011. The motion to seal the entire Confidential Settlement Agreement, attached hereto as Exhibit A, as well as certain portions of this Joint Motion that reference the Confidential Settlement Agreement is filed herewith.

2008); *Del Monte Corp. v. Matson Navigation Co.*, 22 F.M.C. 365 (1979); *United Van Lines, Inc. and United Van Lines International, Inc. v. United Shipping USA, Inc.*, 27 S.R.R. 769 (ALJ 1996) (administratively final May 29, 1996). The Commission has long recognized that the resolution of controversies by means of settlement is faster and cheaper than litigation for all parties involved. *See id.* Accordingly, Rule 91 of the Commission's Rules of Practice and Procedure² codifies the holding in *Old Ben Coal* and sets forth the standard pursuant to which the Commission routinely approves settlement of disputes between parties, including proposed settlements in discrimination cases filed by lessees against port authorities.³ *See, e.g., United Van Lines, supra; Delhi Petroleum Pty. Limited v. U.S. Atlantic & Gulf/Australia-New Zealand Conference and Columbus Line, Inc.*, 24 S.R.R. 1129 (ALJ 1988) (administratively final September 19, 1988).

Where – as here – a settlement does not contravene any law or public policy, is fair, adequate, reasonable, and is not the product of collusion or coercion, it should be approved. *See Delhi Petroleum* at 1134. As the Presiding Officer in *Delhi Petroleum* noted, “if it is the considered judgment of the parties that whatever benefits might result from vindication of their positions would be outweighed by the costs of continued litigation and if the settlement otherwise complies with law the Commission authorizes the settlement.” *Id.* Settlement is also strongly encouraged, where, as here, it would also dispose of ancillary proceedings pending before courts and would obviate the need to consume additional judicial resources. *See, e.g., Al Kogan v. World Express Shipping,*

² *See* 46 C.F.R. § 502.91.

³ *See Independent Pier Co. v. Philadelphia Port Corp. et al.*, Docket No. 90-15, Complaint Dismissed, March 25, 1992 (ALJ) (F.M.C. notice of finality, April 29, 1992) (Commission approved settlement, finding that it satisfied the parties involved, comported with the strong policy of the law favoring settlements, helped alleviate the crowded docket, and violated no other policy or law).

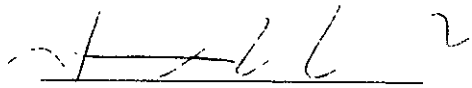
Transp. & Forwarding Servs., Inc., 29 S.R.R. 68, 70 (ALJ, 2000) (“Finally, the settlement agreement has the added benefit of terminating the state court case, another point in its favor, and, as is obvious from my discussion, fully comports with the strong policy in the law favoring settlements.”). The parties represent that the terms of the Confidential Settlement Agreement—which are the product of month-long arms-length negotiations—are fair and reasonable, and that the benefit of its terms far outweighs any benefit that could be derived from further and costly litigation.

CONCLUSION

For all of the reasons set forth herein, the parties respectfully request that the Presiding Officer enter an order (i) approving the Confidential Settlement Agreement, thus resolving all claims before the FMC in this matter, and (ii) dismissing all claims in this matter with prejudice and without an award of costs against either party.

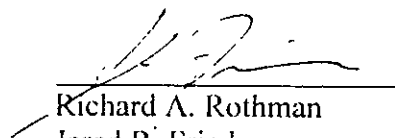
Dated: October ___, 2011

Respectfully submitted,



Janine G. Bauer
SZAFFERMAN, LAKIND,
BLUMSTEIN & BLADER, P.C.
101 Grovers Mill Road, Suite 200
Lawrenceville, New Jersey 08648

Attorneys for American Stevedoring, Inc.



Richard A. Rothman
Jared R. Friedmann
Jennifer M. Oliver
WEIL, GOTSHAL & MANGES LLP
767 Fifth Avenue
New York, New York 10153

Peter D. Isakoff
WEIL, GOTSHAL & MANGES LLP
1300 Eye Street, NW
Suite 900
Washington, DC 20005

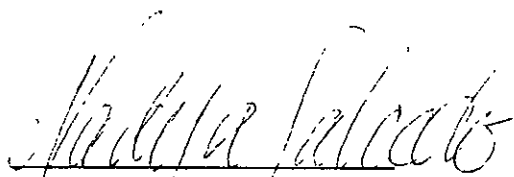
*Attorneys for The Port Authority of
New York and New Jersey*

CERTIFICATION OF COURIER DELIVERY

I hereby certify that I have this day delivered the Joint Motion for Approval of Settlement Agreement and Dismissal With Prejudice and the Motion to Seal to Federal Express for delivery to:

The Federal Maritime Commission
Office of the Secretary
800 North Capital Street, NW, Room 1046
Washington, D.C. 20573-0001

Dated this 14th day of October 2011

A handwritten signature in dark ink, appearing to read "Nadya Salcedo", is written over a horizontal line.

Nadya Salcedo
WEIL, GOTSHALZ & MANGES LLP
767 Fifth Avenue
New York, New York 10153

EXHIBIT A

CONFIDENTIAL MATERIALS EXCLUDED

EXHIBIT B

BEFORE THE
FEDERAL MARITIME COMMISSION

Docket No. 10-05

AMERICAN STEVEDORING, INC.

COMPLAINANT

v.

THE PORT AUTHORITY OF NEW YORK AND NEW JERSEY

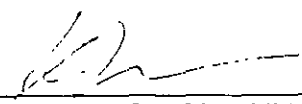
RESPONDENT

JOINT STIPULATION

IT IS HEREBY STIPULATED AND AGREED by and between the undersigned counsel for Complainant American Stevedoring, Inc. and Respondent The Port Authority of New York and New Jersey, that (i) Complainant American Stevedoring, Inc. hereby withdraws all of its claims in this matter with prejudice; and (ii) no later than Friday, October 14th, 2011, the parties shall jointly move Presiding Officer Erin J. Wirth, pursuant to Rule 91 of the Federal Maritime Commission's Rules of Practice and Procedure, to approve the Confidential Settlement Agreement executed by the parties, and to So Order the parties' Proposed Order dismissing the Complaint in this matter in its entirety, with prejudice, and without an award of costs against either party.

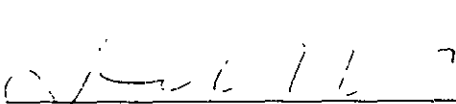
Dated: October 11, 2011

WEIL, GOTSHAL & MANGES, LLP

By: 
JARED R. FRIEDMANN

*Attorney for Respondent
The Port Authority of New York & New Jersey*

SZAFERMAN, LAKIND, BLUMSTEIN &
BLADER, PC

By: 
JANINE G. BAUER

*Attorney for Complainant
American Stevedoring, Inc.*